

UPDATES

Below please find a summary of updates for the Flex NonQM and DSCR Matrices and Guidelines. For instances where these guidelines are more liberal, the changes may be applied immediately, however they must be implemented for all applications and locks as of **October 6, 2025**.

GUIDELINES AND MATRICES – Updated as follows:

- **Flex Supreme** – Updated as follows:
 - Eligible Transactions. These are now eligible under Flex Supreme and the requirements will line up with Flex Select
 - Non-Arm's Length
 - Delayed Financing
 - Flip Transactions
 - Cash out refinances in a declining market
 - TX Refinances
 - Land Contract Refinances
 - Title held as Tenants in Common
 - Borrower Eligibility:
 - Non-Permanent Resident aliens permitted per guides
 - Non-Occupant CoBorrower:
 - DTI increased to 50%
 - First Time Homebuyer:
 - DTI increased to 50%
 - Tradeline Requirements:
 - When the primary borrower has three scores, the tradeline requirements are considered to have been met
 - DTI:
 - DTI is now max 50% without further restrictions
 - Secondary Income:
 - Now permitted provided it is documented according to guides
 - **Business/Co-Mingled Bank Statements:**
 - Removed the requirement for a minimum business ownership of 50%.
 - Added PTIN to expense ratio eligible provider
 - Asset Utilization:
 - May be used as supplemental income
 - Permitted for investment properties
 - When assets are the sole source of income or the DTI is > 60% without asset utilization, Monthly Income is calculated as net qualified assets / 60 months
 - When the DTI without asset utilization is <= 60%, Monthly Income is calculated as net qualified assets / 36 months.
 - Gift Funds:
 - All gift funds may be used for downpayment and closing costs on an O/O or 2nd Home when the LTV is 80% or less
 - Gifts of equity are permitted
- **Flex Select** – Updated as follows:
 - Housing History:
 - Max of 1x30x12 permitted per matrix.
 - Up to 3x30x12 permitted with the following conditions:
 - ❖ The borrower is 0x30 in the most recent 6 months.
 - ❖ Max LTV to be reduced by 10% from the matrix.
 - Credit/Housing Events:
 - Must be seasoned for 2 years

- **Business/Co-Mingled Bank Statements:**
 - Added PTIN to expense ratio eligible provider.
- **Super Jumbo** – Updated as follows:
 - **Business/Co-Mingled Bank Statements:**
 - Added PTIN to expense ratio eligible provider.
- **Select ITIN** - Updated as follows:
 - **Housing History:** Updated from 0x30x24 back to 0x30x12
 - **Business/Co-Mingled Bank Statements:**
 - Added PTIN to expense ratio eligible provider
 - The minimum expense ratio provided by a CPA/EA or PTIN tax preparer has increased from 10% to 20%.
- **DSCR: All Programs**– Updated as follows:
 - Clarified that a C4 rating does not automatically make the property ineligible. A review of the collateral will be done to ensure that the condition of the property is acceptable.
 - Websites such as the below will be reviewed to analyze whether the property should be classified as rural and subject to rural guidelines.
 - <https://www.consumerfinance.gov/rural-or-underserved-tool/>
- **DSCR Supreme** – Updated as follows:
 - Eligible Transactions. These are now eligible under DSCR Supreme and the requirements will line up with Investor DSCR
 - Delayed Financing
 - Flip Transactions
 - Cash out refinances in a declining market
 - TX Refinances
 - Borrower Eligibility:
 - Non-Permanent Residents are permitted and the requirements line up with Investor DSCR
 - Tradelines:
 - When the primary borrower has three scores, the tradeline requirements are considered to have been met
 - DSCR:
 - Minimum 1.00 DSCR for First Time Investors (was previously 1.25)
- **DSCR Mixed and Multi** - Updated as follows:
 - Transferred appraisals are no longer permitted as of 9/26/25.
- **Underwriting Guidelines** – Updated as follows:
 - Typographical and Organizational updates have taken place within the Underwriting Guide. In addition, content that was erroneously removed has been added back.
- **Entity Vesting:**
 - Evidence of Certificate of Good Standing can be provided via a screen shot from the state website.
 - A Borrowing Certificate is only required when vesting in an LLC if the borrower's signing authority is not validated through the Operating Agreement or a Certificate of Authorization.
- **Foreign Credit:**
 - Clarified that when using Foreign Credit to qualify, the loan will be priced as a Foreign National.
- **Tip Income:**
 - Replaced the requirement for tax returns with the need for a Written VOE.
- **P&L only and P&L plus 2 months Bank Statements:**
 - Added a requirement to review the total expenses on the P&L as compared to gross revenue. When the expenses listed are less than 20% of the gross revenue, the net income must be adjusted to reflect a 20% expense level

when qualifying. The NQMF Bank Statement Calculator has been updated to reflect this calculation.

- **Written Verification of Employment:**
 - Removed the limitation to only allow income from one source. Provided each source is documented according to guidelines, multiple sources may be permitted.
- **Asset Utilization:**
 - Clarified that proceeds from the sale of real estate not seasoned for 3 months are an ineligible asset source for asset utilization.
- **Transferred Appraisals:**
 - Added Mixed & Multi 5-10 Unit Appraisals as an ineligible transfer type
- **Appraisal Review Process 1-4 Unit Residential:**
 - Added the ability to accept a HouseCanary AVM with an FSD of no more than 0.10 and a value of no more than 10% below the appraised value to meet the Appraisal Review requirement. This is not permitted on No Ratio loans. In addition, the AVM cannot override a desk, field, or full appraisal.
- **Accessory Dwelling Units:**
 - Removed the requirement for the appraiser to reduce the appraised value for ADUs not meeting the requirements of the guide. The underwriter is permitted to reduce the value by the amount of the ineligible ADU for LTV qualifying purposes.
 - Clarified that when there is an accessory unit which is not substantially smaller than the primary dwelling, the property must be treated as a 2-4 unit property for eligibility purposes.
- **Unpermitted Additions:**
 - Removed the requirement for the appraiser to comment on the ability of the property to pass an inspection. That commentary is outside of the scope of the appraiser's duties. The appraiser is required to comment that any unpermitted additions were completed in a professional manner.